

# Transformation Roadmap - Alternative Measure

## 3. DEVELOP ALTERNATIVE DISTRESS MEASURE

**Current:**

Relies solely on Z-scores, admits they're invalid

**Needed: "Public Hospital Financial Sustainability Index (PHFSI)"**

**Components (equally weighted):**

1. Operational Self-Sufficiency Ratio = Operating Revenue / (Operating Expenses - Subsidies) 2. Stakeholder Pressure Index = (Accounts Payable Days / 90) + (Overdue Liabilities / Total Liabilities) 3. Receivables Realization Rate = Cash Collections / Accrued Revenue (adjusted for lag) 4. Subsidy Dependency Ratio = State Subsidies / Total Revenue 5. Clinical Quality Maintenance Index = (Patient Safety Score + Access Metrics) / Benchmarks

**Validate by:**

- Showing low PHFSI predicts government intervention
- Demonstrating PHFSI captures problems Z-scores miss
- Testing across multiple countries/time periods

